



Dame Meg Hillier MP
Chair of the Treasury Committee
House of Commons
Palace of Westminster
London
SW1A 0AA

26 February 2025

Dear Dame Meg,

Thank you for your letter of 10 February 2025 on the impact of IT failures. We welcome the opportunity to support the Committee and have provided additional context alongside our responses to your questions.

We recognise the importance of operational resilience and maintaining service availability for our 14 million customers. Since 1st January 2023, our services have been available for 99.98% of the time. Where any of our services are disrupted our priority is to minimise any impact to our customers by restoring services as quickly as possible and by helping our customers with alternative channels and services. Where financial detriment to an affected customer is identified as result of an IT failure, we take steps to correct it.

The Committee has requested an overview of the instances where our services have been unavailable to customers due to IT failure over the last two years. Our data includes all instances since 1st January 2023 to 31st January 2025. We can confirm that during this period Santander UK has not experienced a full bank outage and nor have we had any instances where the severity or duration of an incident has resulted in the need to invoke our Executive Senior Management Crisis Protocols.

We are able to support our customers through a variety of channels, however, there have been 24 occasions where at least one channel has been unavailable to customers for a period of time due to an IT failure (see an overview of instances by channel in the Appendix). There have been a further 8 occasions where whilst our channels have been available, the level of service has been impacted. In the majority of instances issues impacting channel availability were resolved within 1.5hrs with some channels restored within an hour. Where incidents impacted Faster Payments, customers were able to request payments during the outage, however these were temporarily queued along with any payments queued by sending financial institutions until the service was restored.

It is important to note that during this period, we have made significant upgrades to our IT infrastructure to ensure we can provide the best possible service to our customers. We recognise implementing technological change comes with a level of disruption risk and therefore schedule IT changes to take place at times that would minimise customer inconvenience as we appreciate the impact any disruption to our services can have on customers. Whilst we do everything we can to avoid service disruption, when this occurs Santander UK ensures identified financial detriment is appropriately rectified. For example, we will automatically identify where payment outages lead to the loss of customer interest and will rectify customer accounts. Where any further impacts are brought to our attention we will address them on a case-by-case basis. Over the past two years we have received a low volume of complaints as a result of outages, and paid c.£17,000 to those customers.

As part of our regulatory reporting obligations, we report payments incidents under the Payment Services Directive (PSD2) reporting measures, which can be found on our website. The incidents referenced in this letter are the incidents which were reported under PSD2 requirements and which fall within the scope of

your request. We note that our response may not be comparable to other firms, given each bank will have their own method of recording and classifying the materiality and impact of incidents.

I would like to thank the Committee for its interest in this topic. We remain committed to delivering strong IT resilience in support of our customers.

Should you have any questions, please do not hesitate to contact us.

Yours sincerely,



Mike Regnier
CEO Santander UK

Appendix

1. Please can you provide the Committee with an overview of the number of instances and amount of time in total (in hours) Santander UK services have been unavailable to customers due to IT failure over the last two years, by Channel (i.e. app, web, branch, ATM, cards, etc)?

	Channel Outage (Impact time in minutes)									Payment Services (Impact time in minutes)		
	Retail App	Business App	Retail Online Bank	Business Online Bank	Corporate Digital Service	Retail Contact Centre	Corporate Contact Centre	Branch	ATM	Faster Payments	Maximum Channel Outage Time (mins)	Customers Impacted*
Incident 1	52	52	52	52		52		52			52	18,238
Incident 2					62						62	37
Incident 3										357	357	91,000
Incident 4										105	105	20,491
Incident 5									527		527	9,600
Incident 6						190		190			190	4,841
Incident 7	248	248	248	248						242	248	258,792
Incident 8						72		72			72	984
Incident 9	52	52	52	52		52	52	52			52	8,564
Incident 10	63	63	63	63	63						63	21,623
Incident 11										118	118	54,637
Incident 12										90	90	21,479
Incident 13	14	51	14	14	45	14		14			51	28,830
Incident 14					615		645				645	12,995
Incident 15					245						245	196
Incident 16										73	73	164,030
Incident 17	131	40									131	56,167
Incident 18	24										24	16,505
Incident 19										138	138	38,081
Incident 20					360		90			105	350	47,828
Incident 21										54	54	55,087
Incident 22	95										95	51,043
Incident 23	83										83	58,535
Incident 24	38	38	28	28							38	7,000
Duration of Outage (hrs)	13.3	9	7.6	7.6	23	6.3	13.1	6.3	8.8	21.4		

*These figures include volume of transactions where Faster Payments are impacted by an outage. Therefore, as customers may request multiple transactions the figures shown are the maximum number of customers that could have been affected.

2. The number of customers that have been affected by each of those outages;

We include in the table above the estimate number of customers we would have expected to have used the service during the impacted period. However, whilst we would have expected customers to have used the service, customers may not have been affected if for example, they selected to use an alternative channel or if any delay caused by the disruption in service did not have an impact on them.

3. The amount of compensation that Santander UK have paid to customers due to IT failures over the last two years;

Whilst we do everything we can to avoid service disruption, when this occurs Santander UK ensures identified financial detriment is appropriately rectified. For example, we will automatically identify where payment outages lead to the loss of customer interest and will rectify customer accounts. Where further impacts are brought to our attention, we will address them on a case-by-case basis. We have paid c.£17,000 to customers who complained to us about any of the IT incidents referenced in our response.

4. A description of the reason for those failures.

After every incident we conduct root cause analysis to understand how we can avoid future IT failures. Across the incidents referenced in this letter the root causes were identified as either an application error, hardware error, third party error or due to an issue that arose during a planned IT change.